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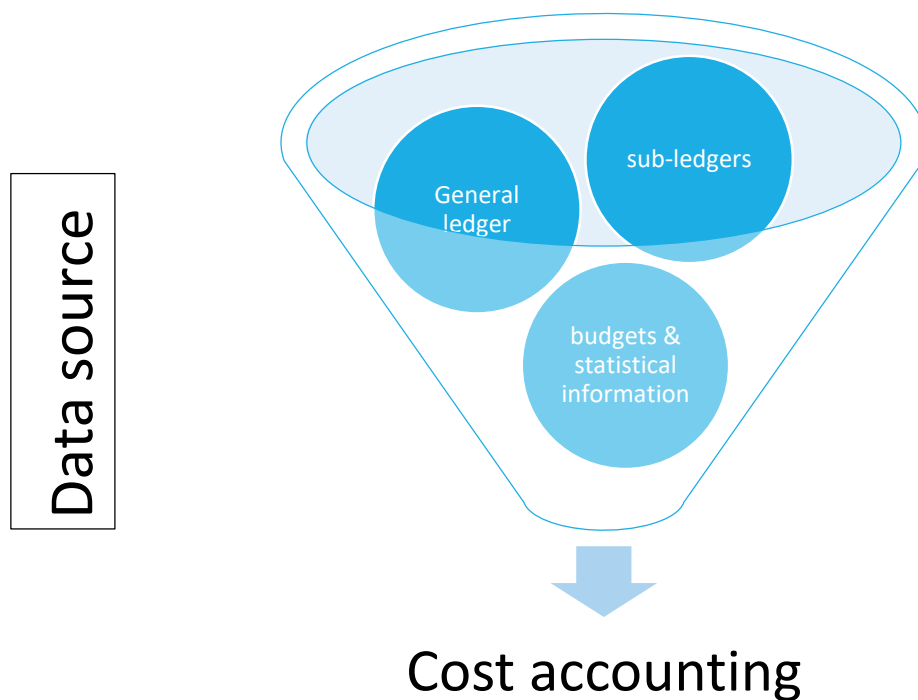
Scope of document

This document is designed to present end to end steps for cost accounting component setup, posting journal entry using general journal and import posted GL entry to cost accounting.

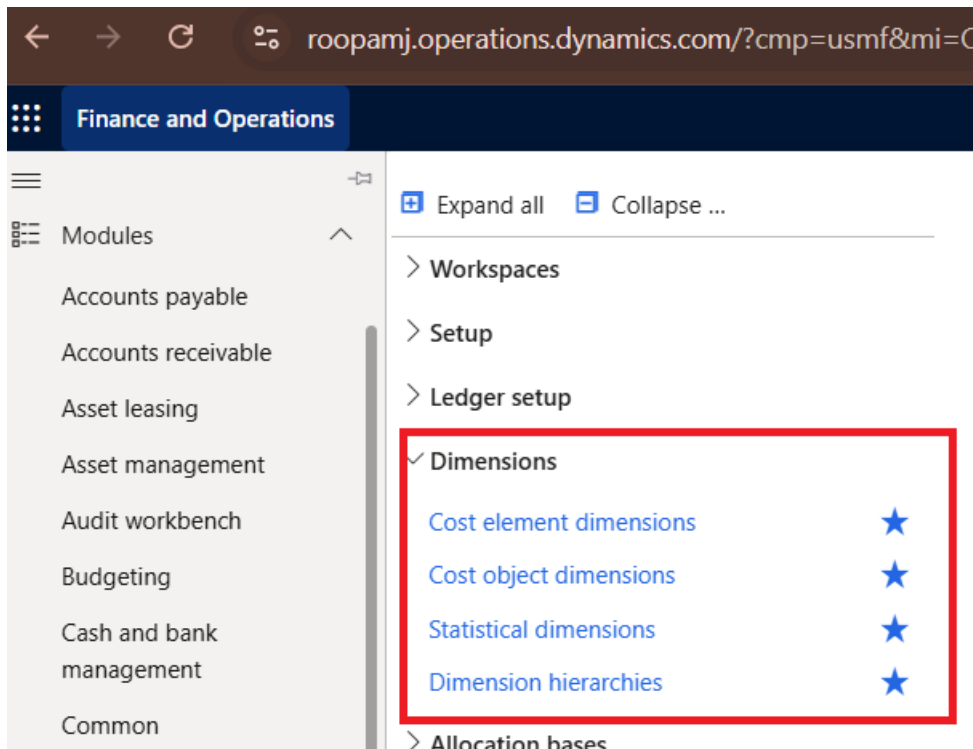
This also guides on reporting of cost entries in cost control workspace.

1-Cost Accounting Introduction:

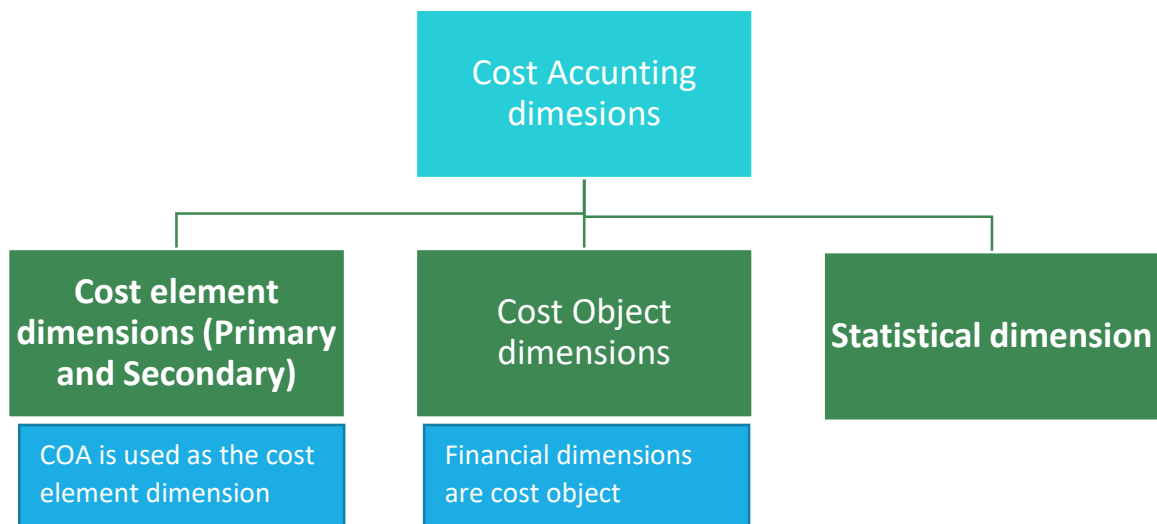
Cost accounting is an internal process used only by company management, it helps to analyze, summarize, and evaluate cost data, so that management can make efficient and possible decisions for price updates, budgets, cost control, and so on.



2-Cost Accounting dimensions:



Note: Statistical dimensions will be explained in next document



3-Cost element dimensions:

Cost element dimensions are used to categorize and track flow of cost.

In simple term, Chart of accounts data entity are defined as cost element dimensions.

There are two types of cost elements: primary cost elements and secondary cost elements.

Primary cost elements	Secondary cost elements
Cost flow from Financial Accounting to Cost Accounting.	Cost flow within cost accounting
All imported cost element will be classified as primary	Manual cost element creation

The below procedure shows one of the process on how to create cost elements by importing main accounts via a data connector.

Follow below steps for cost element creation:

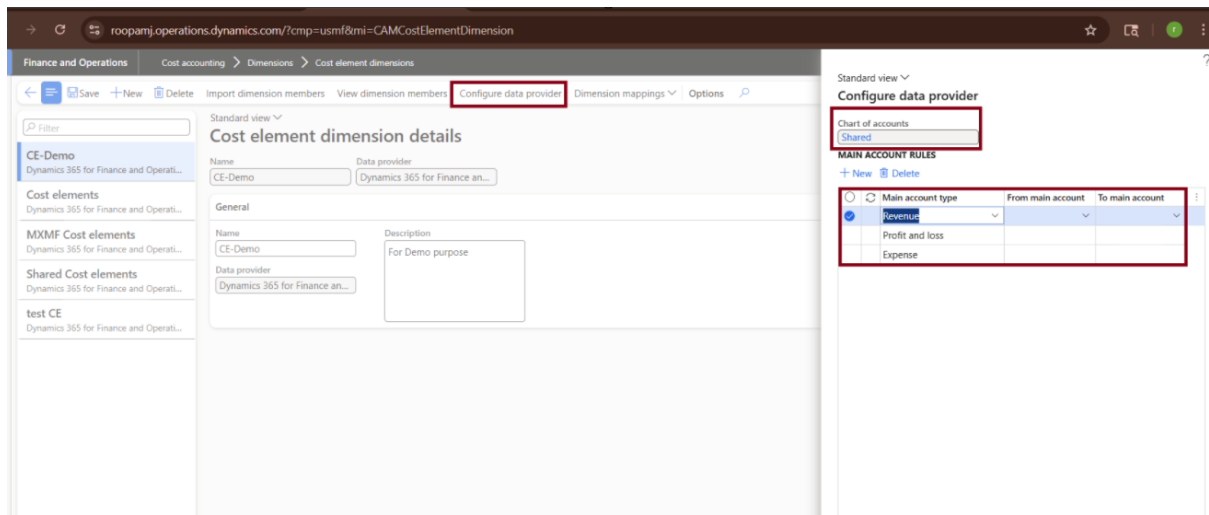
- Create a **new** cost element dimension
- Configure data provider
- Import dimension members
- View Dimension members

a-Create a **new** cost element dimension using Dynamics 365 for Finance and Operations - Main accounts as data provider.

The screenshot displays the Dynamics 365 for Finance and Operations interface for creating a cost element dimension. The breadcrumb navigation at the top indicates the path: Finance and Operations > Cost accounting > Dimensions > Cost element dimensions. The left sidebar shows a list of cost elements, with 'CE-Demo' highlighted under the 'Cost elements' category. The main form area, titled 'Cost element dimension details', shows the 'Name' field set to 'CE-Demo' and the 'Data provider' field set to 'Dynamics 365 for Finance an...'. The 'General' section includes a 'Description' field with the text 'For Demo purpose'. The 'Data provider' field is highlighted with a red box.

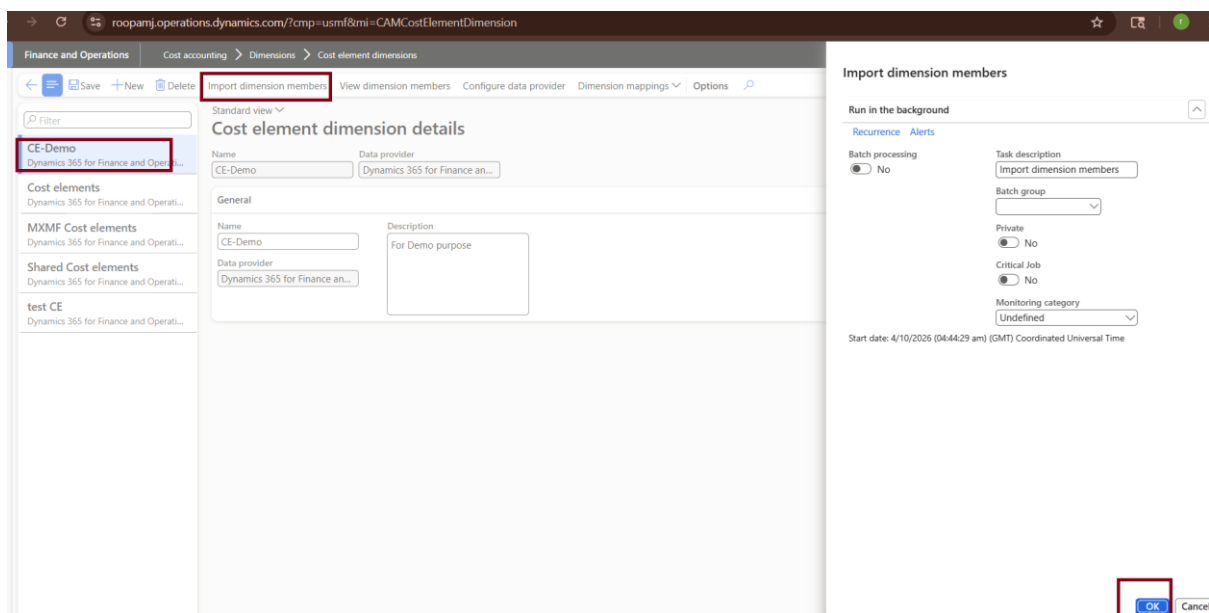
b-Configure data provider

Select COA and Main Account rules to be part of cost accounting, you can either give range of accounts or keep blank in range.



c-Import dimension members

Main accounts will be imported into Cost accounting and used as cost elements



This brings all COA that was selected from shared COA

d- View Dimension members

View the imported ledger accounts as cost elements

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostElementDimension

Finance and Operations > Cost accounting > Dimensions > Cost element dimensions

Cost element dimension members | CE-Demo

Standard view

Filter

CE-Demo	Description	Type
231330	Intercompany Payable - U...	Primary
401100	Product Sales	Primary
401200	Service Revenues	Primary
401300	Other Revenues	Primary
401400	Accrued Sales (Shipped N...	Primary
402100	Sales Adjustment Internal	Primary
402200	Intercompany Accrued Sa...	Primary
402300	Intercompany Sales - US...	Primary
402400	Intercompany Sales - USS...	Primary

4-Cost object dimensions:

Cost object dimensions is used to determine where you should assign costs. We will import cost object dimension members using data connectors” Dynamics 365 for Finance and Operations - Financial dimension” to retrieve the values from the entities.

In simple term, Financial dimension are defined as cost object dimensions.

a-Create **new** cost object dimension

Finance and Operations

Search for a page

Save New Delete Import dimension members View dimension members Configure data provider Dimension mappings Options

Filter

CO-Demo
Dynamics 365 for Finance and Operati...

Cost centers
Dynamics 365 for Finance and Operati...

ProductGroup
Dynamics 365 for Finance and Operati...

Test BU
Dynamics 365 for Finance and Operati...

Test cc
Dynamics 365 for Finance and Operati...

Standard view

Cost object dimension details

Name: CO-Demo Data provider: Dynamics 365 for Finance an...

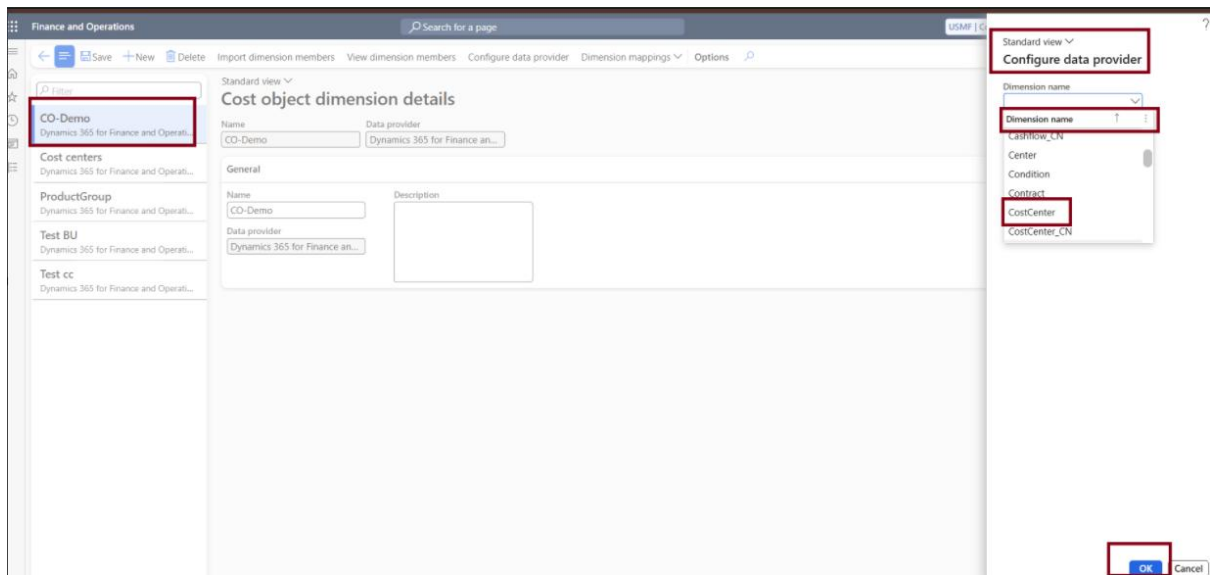
General

Name: CO-Demo Description:

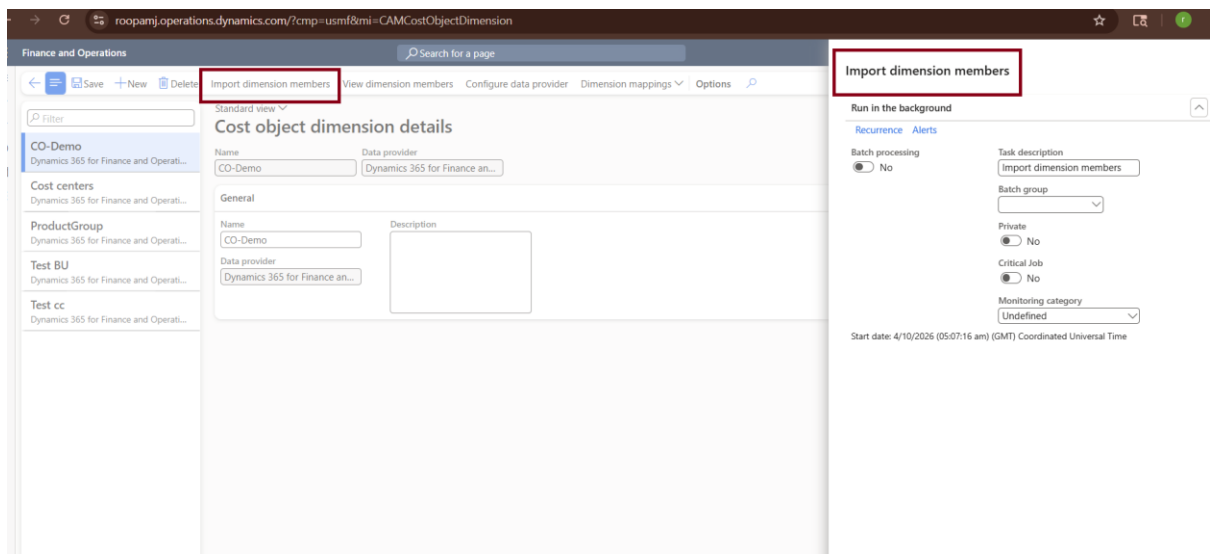
Data provider: Dynamics 365 for Finance and

b-Configure data provider

This gives an option to select one of the dimension (entire range is selected)



c-Import dimension members



d- View Dimension members

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostObjectDimension

Finance and Operations

Search for a page

Cost object dimension members | CO-Demo

Standard view

Filter

CO-Demo	Description
007	Trade Shows
008	Marketing Campaign
009	Service Operations
010	Production
011	Quality Control
012	Logistics
013	Procurement
014	Administration

5-Dimension hierarchy

Dimension hierarchy must be defined for Cost element and cost object as this is used for reporting purpose in cost control workspace.

Cost element dimension hierarchy:

Finance and Operations

Cost accounting > Dimensions > Dimension hierarchies

Standard view

Dimension hierarchy details

Dimension hierarchy name: Demo

Dimension: CE-Demo

General

Dimension hierarchy name: Demo

Data connector for dimension hierarchy: Manual

Description:

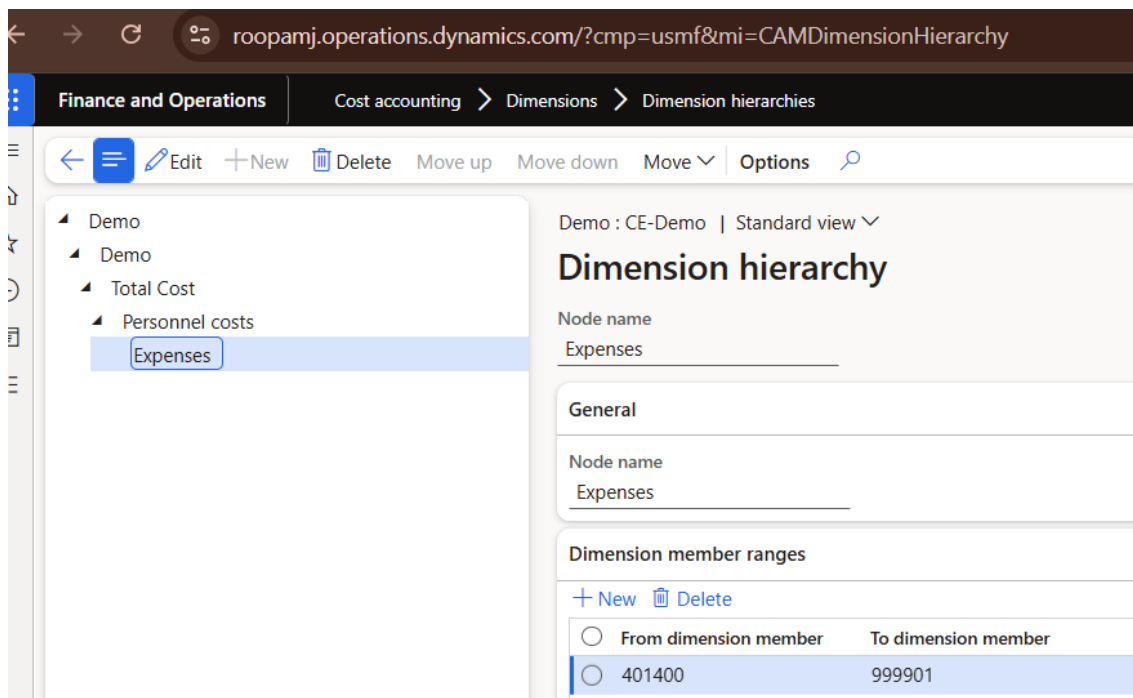
Access list hierarchy: No

Dimension: CE-Demo

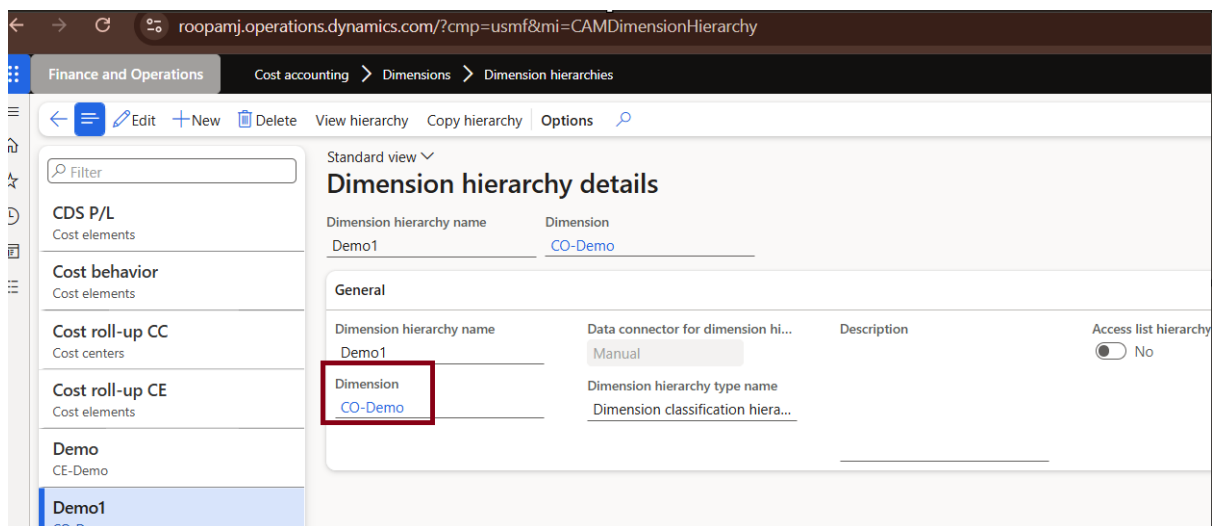
Dimension hierarchy type name:

Dimension classification hierarchy:

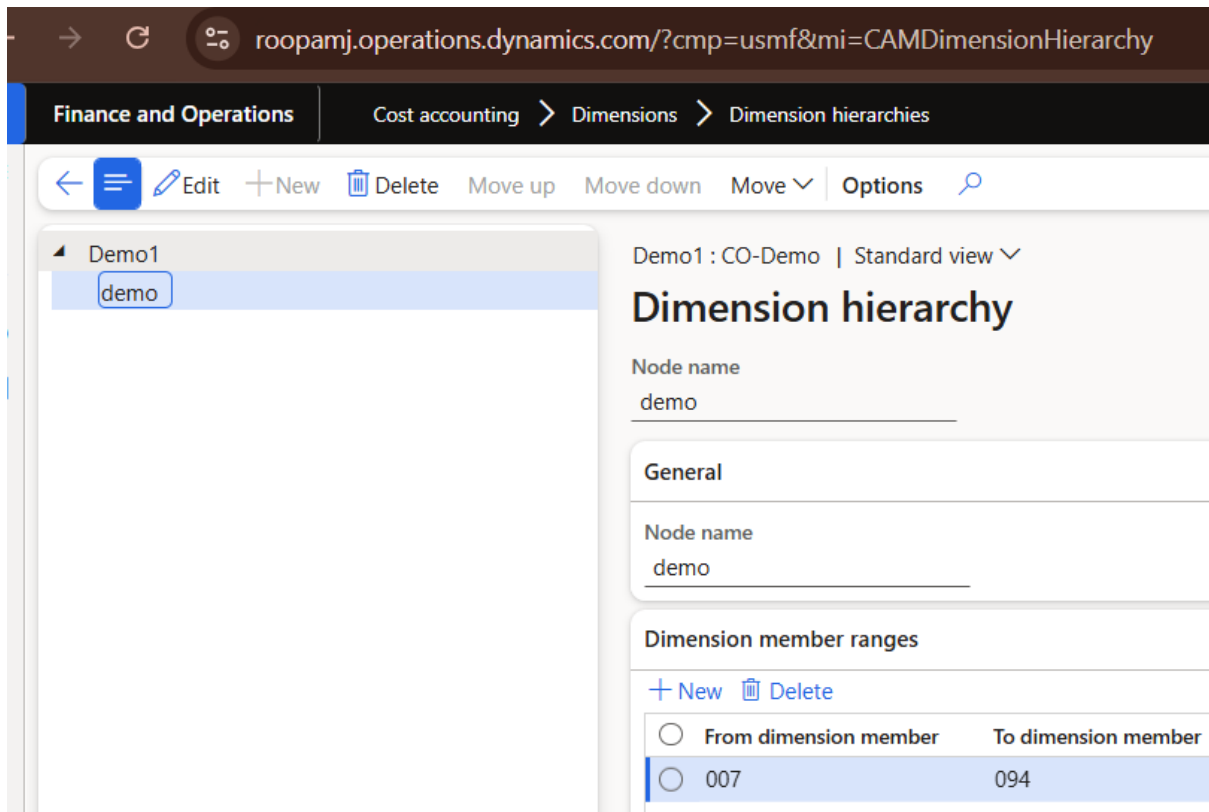
Create any as per your requirement



Cost object dimension hierarchy:

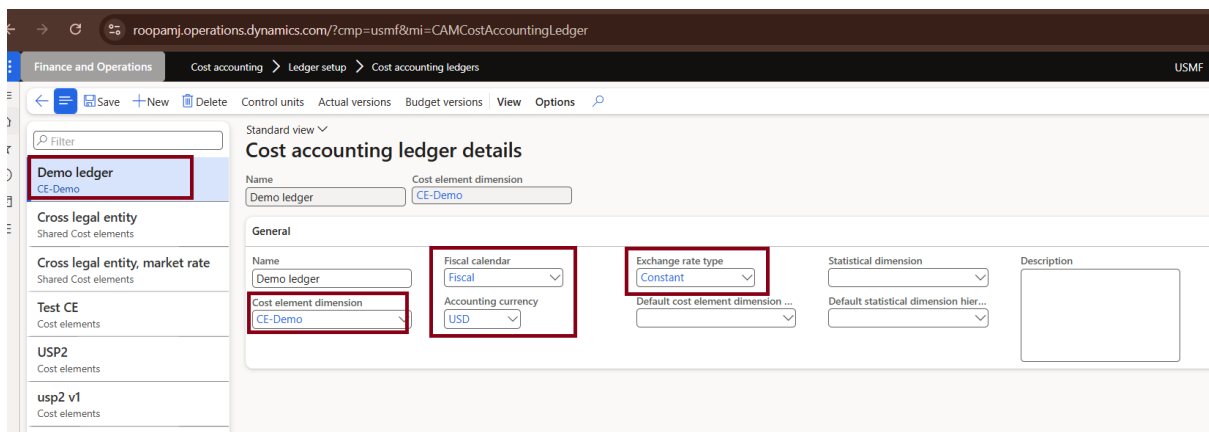


Provide range as below



6-Cost accounting ledgers:

A cost accounting ledger represents the overall reporting unit where we have defined a cost element dimension, statistical dimension (optional), **Exchange rate type**, fiscal calendar, and currency.



7-Post Journal entry:

Finance and Operations

Search for a page

Operation completed

Save

Post

Post in batch

Validate

General journals

Period journal

Functions

Fixed assets

Inquiries

Print

Reverse entire journal

Options

Journal voucher | 00643 : GenJrn

Standard view

Display journal lines

All

List

General

Invoice

Payment

Payment fee

Fixed assets

Remittance

History

+ New

Delete

Voucher

Financial dimensions

Sales tax

Functions

Deferrals

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset acc
4/10/2026	GNJL001052		usmf	Ledger	608010-002-025-009-		11.00		usmf	Ledger

8-Transfer journal entry to cost account ledger:

Control units has data once processed and if not then proceed to create provider and transfer data as below for Actual versions.

Same will be with Budget versions.

a-Configure data provider in Actual version:(budget version will be covered later)

Click Actual version

Finance and Operations											
Cost accounting > Ledger setup > Cost accounting ledgers											
Save	New	Delete	Control units	Actual versions	Budget versions	View	Options				
Standard view											
Cost accounting ledger details											
Name		Cost element dimension									
Demo ledger		CE-Demo									
General											
Name		Fiscal calendar		Exchange rate type		Statistical dimension					
Demo ledger		Fiscal		Constant							
Cost element dimension		Accounting currency		Default cost element dimension ...		Default statistical dimension hier					
CE-Demo		USD									

Select Manage> Data source>New

Give name and select data provider and cost element dimension and save

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostAccountingLedger

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Save + New Delete Configure data provider Options

Filter

Demo ledger: Demo ledger | Standard view

Data source details for general ledger entries

Name: Demo Data provider: Dynamics 365 for Finance an...

General

Name: Demo Data provider: Dynamics 365 for Finance a... Cost element dimension: CE-Demo

Cost object dimension mappings

+ New Delete

Dimension mapping

We didn't find anything to show here.

Then Configure data provider is enabled, select Legal entity and layer

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostAccountingLedger

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Save + New Delete Configure data provider Options

Filter

Demo ledger: Demo ledger | Standard view

Data source details for general ledger entries

Name: Demo Data provider: Dynamics 365 for Finance an...

General

Name: Demo Data provider: Dynamics 365 for Finance a... Cost element dimension: CE-Demo

Cost object dimension mappings

+ New Delete

Dimension mapping

We didn't find anything to show here.

Standard view

Configure data provider

CONFIGURE THE DETAILS OF THE DATA PROVIDER

Legal entity: USMF

+ New Delete

Posting layer: Current Fiscal period type: Operating

Once data provider is configured, get the data

a-Select source data processing to get the data:

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Save Manage Source data processing Period calculations Options

Filter

Demo ledger

Demo ledger: CE-Demo | Standard view

Actual versions

Version: Demo ledger

General

Version: Demo ledger

Process data source helps to bring the data from GL and Statistical measure and processed journal shows transferred data, once processing done.

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostAccountingLedger

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Manage Source data processing Period calculations Options

Process data sources

- General ledger (selected)
- Statistical measures

Processed journals

- All processing journals
- General ledger entry transfer journals
- Statistical source entry journals

Demo ledger

General

Version

Demo ledger

Select parameter like fiscal period to get values.

roopamj.operations.dynamics.com/?cmp=usmf&mi=CAMCostAccountingLedger

Finance and Operations > Cost accounting > Ledger setup > Cost accounting ledgers

Manage Source data processing Period calculations Options

Filter Demo ledger

Demo ledger : CE-Demo | Standard view

Actual versions

Version

Demo ledger

General

Version

Demo ledger

General ledger

Parameters

Fiscal calendar period

Fiscal 2026 Period 4

DATES

From date To date

4/1/2026 4/30/2026

Run in the background

Recurrence Alerts

Batch processing

No

Task description

General ledger

Batch group

Private

No

Critical Job

No

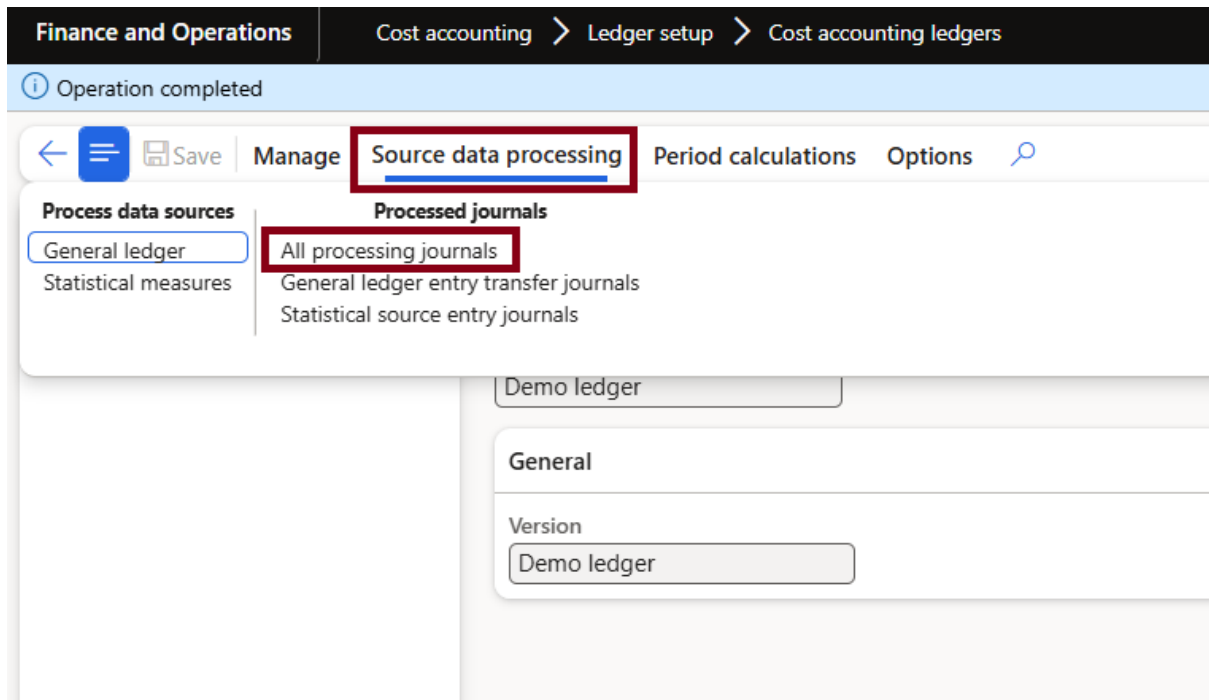
Monitoring category

Undefined

Start date: 4/10/2026 (05:48:59 am) (GMT) Coordinated Universal Time

OK Cancel

Once processed view the entry:



This gives journal number, type, source, version and period information.

Journal	Journal type	Fiscal calendar period	Version	Created date and time	Created by	Data source	Cost control unit
0000000838	General ledger entry transfer journal	Fiscal 2026 Period 4	Demo ledger	4/10/2026 5:49:24 AM	Admin	Demo	USMF

Click **journal entries** to view the cost element journal entries, where we see that 608010 posting appears along with all previous entries.

Accounting date	Debit	Credit	Cur...	Exchange rate	Cost element dimension member	CO-Demo
4/8/2026	100.00		USD	100.00000000000000	CE-Demo 500100	COGS - Finished ... CO-D... 008 Marketi...
4/10/2026		11.00	USD	100.00000000000000	CE-Demo 500100	COGS - Finished ...
4/9/2026		11.00	USD	100.00000000000000	CE-Demo 500130	COGS - Services CO-D... 007 Trade Sh...
4/10/2026		11.00	USD	100.00000000000000	CE-Demo 500140	COGS - Other CO-D... 014 Adminis...
4/9/2026	200.00		USD	100.00000000000000	CE-Demo 602110	Salaries - Other E... CO-D... 009 Service ...
4/9/2026	100.00		USD	100.00000000000000	CE-Demo 602110	Salaries - Other E... CO-D... 010 Producti...
4/9/2026	300.00		USD	100.00000000000000	CE-Demo 606200	Insurance Expense CO-D... 007 Trade Sh...
4/10/2026	11.00		USD	100.00000000000000	CE-Demo 606200	Insurance Expense CO-D... 014 Adminis...
4/9/2026	11.00		USD	100.00000000000000	CE-Demo 606300	Office Supplies E... CO-D... 007 Trade Sh...
4/10/2026	11.00		USD	100.00000000000000	CE-Demo 608010	Colorado State T... CO-D... 009 Service...

9-Create or Review Cost control workspace:

Create new workspace if needed and make sure cost control unit, Cost element dimension hierarchy and Cost object dimension hierarchy selection is correct

Finance and Operations > Cost accounting > Setup > Cost control workspace configuration

Standard view

Cost control workspace configurations

Name: Roopam

General

Name: Roopam Description: Published: No

Data filtering

Cost accounting ledger: Demo ledger

Cost control unit: Demo ledger... demo

Statistical dimension hierarchy:

Cost element dimension hierarchy: Demo

Cost object dimension hierarchy: Demo1

Budget original version:

Run defined fiscal period cost control, select the Cost object dimension hierarchy.

Finance and Operations > Cost accounting > Workspaces > Cost control

Standard view

Cost control

Fiscal calendar period: Fiscal 2026 Period 4

Statement

Actual vs. Budget, CP

Actual vs. Budget, CP, YTD

Cost behavior, CP, YTD

Statistical measures CP, YTD

Profit by PG, CP, YTD

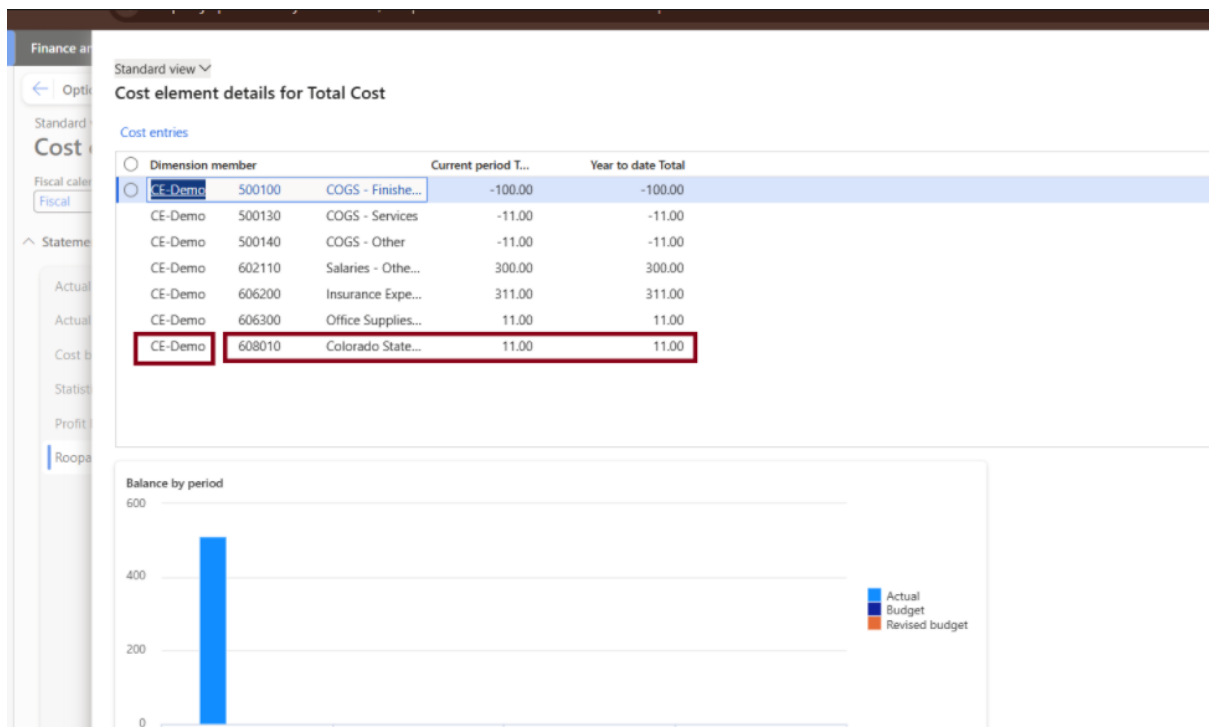
Roopam

Cost object dimension hierarchy ...: Demo1

[View details](#) [Add or remove columns](#)

Node name	Current period (total)	Year to date (total)
> Demo	511.00	511.00
Demo	511.00	511.00
Total Cost	511.00	511.00

Click view details to see the transaction details.



Thanks

Happy reading☺